IN THE NATIONAL COMPANY LAW TRIBUNAL,
NEW DELHI COURT III

Item No. 106
CAA-68(ND)/2022

IN THE MATTER OF:
M/s. Madhiapali Solar Pvt Ltd. and Chinched Solar Pvt Ltd.

.....PETITIONER

SECTION
U/s 230/232 **Order Pronounced on 13.07.2023**

CORAM:
SHRI BACHU VENKAT BALARAM DAS, HON'BLE MEMBER (JUDICIAL)

SHRI ATUL CHATURVEDI, HON'BLE MEMBER (TECHNICAL)

PRESENT:

For the Applicant	: Mr. Abhishek Nanta, PCS, Mr. Rishabh Sachdeva, Mr. Ujjwal Mendiratta, Advs.
For the IT Dept.	: Mr. Ruchir Bhatia, Sr. Standing Counsel, Mr. Shlok Chandra, Jr. Standing Counsel, Mr. Keshav Garg, Advs.
For the RD	: Ms. Shankari Mishra, Adv.

ORDER

Order pronounced in open court vide separate sheets. CAA-68(ND)/2022 is **sanctioned** and **disposed of.**

-SD-
(ATUL CHATURVEDI)
MEMBER (TECHNICAL)

-SD-
(BACHU VENKAT BALARAM DAS)
MEMBER (JUDICIAL)

IN THE NATIONAL COMPANY LAW TRIBUNAL,

NEW DELHI, COURT-III

COMPANY PETITION NO. (CAA) - 68(ND)/2022

CONNECTED WITH

COMPANY APPLICATION NO. (CAA) - 57(ND)/2022

(Under Section 230-232 and other applicable provisions of the Companies Act, 2013 r/w the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016)

IN THE MATTER OF SCHEME OF AMALGAMATION

OF

M/s. MADHIAPALI SOLAR PRIVATE LIMITED

..... Petitioner Company No. 1/ Transferor Company No. 1

AND

M/s. CHINCHED SOLAR PRIVATE LIMITED

..... Petitioner Company No. 2/ Transferor Company No. 2

AND

M/s. BADBAHAL SOLAR PRIVATE LIMITED

..... Petitioner Company No. 3/ Transferor Company No. 3

AND

M/s. CHANDANPALI SOLAR PRIVATE LIMITED

..... Petitioner Company No. 4/ Transferor Company No. 4

AND

M/s. KHAPSIKANA SOLAR PRIVATE LIMITED

..... Petitioner Company No. 5/ Transferor Company No. 5

WITH

M/s. VENTO POWER PRIVATE LIMITED

..... Petitioner Company No. 6/ Transferee Company

AND

THEIR RESPECTIVE CREDITORS AND SHAREHOLDERS

Order Delivered on 13.07.2023

CORAM:

SHRI BACHU VENKAT BALARAM DAS, HON'BLE MEMBER (JUDICIAL)

SHRI ATUL CHATURVEDI, HON'BLE MEMBER (TECHNICAL)

PRESENT:

For the Applicant	:	Mr. Abhishek Nanta, PCS, Mr. Rishabh Sachdeva, Mr. Ujjwal Mendiratta, Advs.
For the IT Department	:	Mr. Ruchir Bhatia, Sr. Standing Counsel Mr. Shlok Chandra, Jr. Standing Counsel Mr. Keshav Garg, Advs.
For the Regional Director	:	Ms. Shankari Mishra, Adv.

ORDER

PER: ATUL CHATURVEDI, MEMBER (TECHNICAL)

1. The present Second Motion Petition is filed jointly by **M/s. Madhiapali Solar Private Limited,** (Petitioner Company No. 1/ Transferor Company No. 1), **M/s. Chinched Solar Private Limited,** (Petitioner Company No. 2/ Transferor Company No. 2), **M/s. Badbahal Solar Private Limited,** (Petitioner Company No. 3/ Transferor Company No. 3), **M/s. Chandanpali Solar Private Limited,** (Petitioner Company No. 4/ Transferor Company No. 4), **M/s. Khapsikana Solar Private Limited,** (Petitioner Company No. 5/ Transferor Company No. 5) and **M/s. Vento Power Private Limited** (Petitioner Company No. 6/ Transferee Company) under Sections 230-232 of the Companies Act, 2013 (Act) read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 (Rules) for the Sanction of the proposed Scheme of Amalgamation between the Transferor Company and Transferee Company and their respective shareholders and creditors (Scheme).

   The Registered office of Transferee Company is situated in the NCT of Delhi and therefore, it is under the jurisdiction of the National Company Law Tribunal, New Delhi.

2. M/s. Madhiapali Solar Private Limited (Transferor Company No.1) is a private limited company incorporated on 12.12.2017 in terms of the provisions of the Companies Act, 2013 with the authorized share capital

of Rs. 20,000 (Rupees Twenty Thousand Only) having its registered office address at Plot No. 47, Tikrapara, Bikram Chowk, Balangir, Bolangir - 767001, Orissa, India. The CIN of the Company is U74999OR2017PTC028049 and email id is esselinfra2019@gmail.com.

3. M/s. Chinched Solar Private Limited (Transferor Company No.2) is a private limited company incorporated on 11.12.2017 in terms of the provisions of the Companies Act, 2013 with the authorized share capital of Rs. 20,000 (Rupees Twenty Thousand Only) having its registered office address at Plot No. 47, Tikrapara, Bikram Chowk, Balangir, Bolangir - 767001, Orissa, India. The CIN of the Company is U74999OR2017PTC028029 and email id is esselinfra2019@gmail.com.
4. M/s. Badbahal Solar Private Limited (Transferor Company No.3) is a private limited company incorporated on 11.12.2017 in terms of the provisions of the Companies Act, 2013 with the authorized share capital of Rs. 20,000 (Rupees Twenty Thousand Only) having its registered office address at Plot No. 47, Tikrapara, Bikram Chowk, Balangir Bolangir - 767001, Orissa, India. The CIN of the Company is U74999OR2017PTC028025 and email id is esselinfra2019@gmail.com.
5. M/s. Chandanpali Solar Private Limited (Transferor Company No.4) is a private limited company incorporated on 15.12.2017 in terms of the provisions of the Companies Act, 2013 with the authorized share capital of Rs. 20,000 (Rupees Twenty Thousand Only) having its registered office address at Plot No. 47, Tikrapara, Bikram Chowk, Balangir, Bolangir - 767001, Orissa, India. The CIN of the Company is U74994OR2017PTC028077 and email id is esselinfra2019@gmail.com.
6. M/s. Khapsikana Solar Private Limited (Transferor Company No.5) is a private limited company incorporated on 18.12.2017 in terms of the provisions of the Companies Act, 2013 with the authorized share capital of Rs. 20,000 (Rupees Twenty Thousand Only) having its registered office address at Plot No. 47, Tikrapara, Bikram Chowk, Balangir, Bolangir - 767001, Orissa, India. The CIN of the Company is U74994OR2017PTC028083 and email id is esselinfra2019@gmail.com.

7. M/s. Vento Power Private Limited (Transferee Company) is a private limited company incorporated on 12.09.2013 in terms of the provisions of the Companies Act, 2013 with the authorized share capital of Rs. 30,25,00,000 having its registered office address at Essel House, B-10, Lawrence Road, New Delhi-110035, Delhi, India. The CIN of the Company is U40106DL2013PTC257690 and email id is esselinfra2019@gmail.com.
8. It is stated that the Transferee Company viz., **M/s. Vento Power Private Limited** has moved the necessary second motion Petition being **CP (CAA) – 68(ND)/2022** on 01.06.2022, connected with the first motion Application being **CA (CAA) – 57(ND)/2022**, before the National Company Law Tribunal, New Delhi.
9. The Board of Directors of the Petitioner Companies in their respective meetings dated 19.12.2018 considered and unanimously approved the proposed Scheme.

   A Copy of the extract of the Resolution dated 19.12.2018, passed by the Board of Directors of the Petitioner Company, inter alia, approving the Scheme and the filing thereof with this Tribunal is filed along with the Petition.
10. The rationale for, and the benefits of, the Scheme of arrangement for the amalgamation of the Transferor Company with the Transferee Company are as follows:

    The Board of Directors of Transferor and Transferee Company has considered and approved this Scheme of Amalgamation (Merger by Absorption) under the provisions of Sections 230 to 232 and other applicable provisions of the Companies Act, 2013.

    The Rationale for the proposed Scheme of Amalgamation is as under:

    a) The amalgamation of the Transferor Companies with the Transferee Company will enable the Transferee Company to integrate its business operations and provide impetus to the operations of the Transferee Company and would enable it to operate as a single entity;

b) Enable Transferee Company to use the resources of Transferor Companies and generate synergy in operations;

c) Reduce the operational, financial and administrative costs to achieve economy of operations;

d) Facilitate administrative convenience and ensure optimum utilization of available services and resources;

e) Efficient and Focused management control and system; and

f) Provide operational benefits to the Transferee Company which would be in the best interest of all the stakeholders.

11. This Tribunal by its order dated 23.05.2022 dispensed with the requirement to convene the meetings of the Equity Shareholders, Unsecured Creditors and Secured Creditors of the Petitioner Companies, as sought through the first motion application.

12. The Second Motion petition was moved by the Petitioner Companies in connection with the Scheme of Amalgamation for issuance of notices. This Tribunal vide order dated 09.06.2022 directed to issue notice to the Regional Director (Kolkata- Eastern Region) - Ministry of Corporate Affairs, Registrar of Companies - Ministry of Corporate Affairs, Official Liquidator (Cuttack), Concerned Income Tax Authority and Such other Sectoral Regulatory Authorities who shall be affected by the proposed Scheme and to such other Objector(s), if any, and also direct that the notice be published in two newspapers i.e., Urissa Post (English) and Udiya Express (Udiya) Cuttack (Udiya) Edition and w.r.t. the Transferor Company based in Delhi, notice be published in two newspapers i.e., Business Standard (English) and Business Standard (Hindi) Delhi Edition.

13. It is submitted by the Petitioners Companies that in compliance of the above-stated directions, the Petitioners Companies duly filed an Affidavit of Service dated 07.07.2022 by confirming that the aforesaid Notices of the present Company Petition were published on 22.07.2022 in Business Standard (English) and Business Standard (Hindi) Delhi Edition and in Urissa Post (English) and Udiya Express (Udiya) Cuttack (Udiya) Edition.

It is further submitted that the Petitioner Companies also served the Notices of the present Company Petition to all the statutory authorities as per the direction given by this Tribunal dated 09.06.2022.

14. The Income Tax Department vide it's report dated 18.03.2022 submitted to this Tribunal stating therein that they have no objection with respect to the present Scheme of arrangement but has made certain observations. The petitioner companies filed reply dated 04.02.2023 in response to the observations made by Income Tax Department, wherein the petitioner companies gave an undertaking to appropriately comply with the observations made by the Income Tax Department.
15. The Regional Director along with the Registrar of Companies vide it's report dated 16.09.2022 has not objected to the proposed scheme of the arrangement but has made certain observations. The petitioner companies filed reply dated 07.12.2022 in response to the observations made by the Regional Director, wherein the petitioner companies gave an undertaking to appropriately comply with the observations made by the Regional Director.
16. The Official Liquidator vide it's report dated 22.03.2023 submitted to this tribunal stating therein that they have no objection with respect to the present scheme of arrangement.
17. All the Petitioner Companies shall account for in accordance with and as per the method of amalgamation prescribed in the applicable Indian Accounting Standard as notified under Section 133 of the Companies Act, 2013 read together with Paragraph 3 of the Companies (Indian Accounting Standard) Rules, 2015 and other accounting principles generally accepted in India.

    In this regard, Certified true copy of the Certificate dated 30.03.2022 obtained from the Statutory Auditors of all the Petitioner Companies under Section 230(7) of the Companies Act, 2013 confirming the accounting treatment proposed in the Scheme of Amalgamation is filed along with the Petition.

18. No investigation proceedings have been instituted and are pending in relation to either of the Petitioner Companies under Sections 235 to 251 of the Act or under Sections 206 to 229 (Chapter XIV) of the Act. To the knowledge of each of the Petitioner Companies, no winding-up petition (including under Section 433 read with Section 434 of the Companies Act, 1956) and/or insolvency proceedings have been filed/instituted and are pending against either of the Petitioner Companies. None of the directors of the Petitioner Companies have any material interest in the Scheme except to the extent of their directorships and shareholding in the Petitioner Companies. This Joint Second Motion Petition is made bona fide and in the interest of justice and no one will be prejudiced if orders are made/or directions are given as prayed for.

19. **Analysis and Finding**

i. After considering the reports, we are of the considered view that the Scheme is not prejudicial to the interest of the equity shareholders and creditors of the Transferor Companies and the Transferee Company and the Scheme will be beneficial to the Transferor Companies, Transferee Company and their respective shareholders and creditors.

ii. The shareholders of the petitioner company are the best judges of their interest, fully conversant with market trends, and therefore, their decision should not be interfered with by this Tribunal for the reason that it is not a part of the judicial function to examine entrepreneurial activities and their commercial decisions. It is well settled that the Tribunal evaluating the Scheme, of which sanction is sought under Section 230-232 of the Companies Act of 2013, will not ordinarily interfere with the corporate decisions of companies approved by shareholders and creditors.

iii. It has also been affirmed in the petition that the Scheme is in the interest of both the Transferor Companies, Transferee Company, their respective shareholders, creditors, employees and all concerned.

In view of the foregoing, upon considering the approval accorded by the members and creditors of the Petitioner companies to the proposed Scheme, there appears to be no impediment in sanctioning the present Scheme.

20. Consequently, the sanction is hereby granted to the Scheme under Section 230 to 232 of the Companies Act, 2013.

i. The Petitioners shall however remain bound to comply with the statutory requirements in accordance with the law.

ii. Notwithstanding the above, if there is any deficiency found or, the violation committed, qua any enactment, statutory rule or regulation, the sanction granted by this court to the scheme will not come in the way of action being taken in accordance with the law, against the concerned persons, directors and officials of the petitioners.

iii. While approving the Scheme as above, we further clarify that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

iv. In compliance with the requirement of Section 230 (1) of the Act, the transferee company shall until the full implementation of the Scheme of Amalgamation filed stated in Form CAA 8 along with the required fee as prescribed in the Companies (Registration offices and fees) Rules 2014 within 210 days from the end of each financial year.

v. The appointment date will be i.e., 01.04.2022 as finalised and confirmed by this Tribunal in the Scheme of Arrangement.

21. This Tribunal does further order: -

i. That the Transferor Companies shall stand dissolved without following the process of winding-up; and

ii. That all properties, rights and powers of the Transferor Companies be transferred without further act or deed to the Transferee Company and accordingly, the same shall pursuant to Section 230-232 of the

Companies Act, 2013 be transferred to and vested in the Transferee Company for all intents, purposes and interest of the Transferor Companies subject nevertheless to all changes now affecting the same; and

iii. That all the liabilities, (if any) and powers, engagements, obligations and duties of the Transferor Companies shall pursuant to Section 232(3) of the Companies Act, 2013 without further act or deed be transferred to the Transferee Company and accordingly the same become the liabilities and duties of the Transferee Company; and

iv. That all proceedings now pending by or against the Transferor Company shall be continued by or against the Transferee Company; and

v. That all the employees of the Transferor Companies in service, on the date immediately preceding the date on which the scheme takes effect, i.e. the effective date, shall become the employees of the Transferee Company on such date, without any break or interruption in service and upon terms and condition not less favorable than those subsisting in the concerned Transferor Companies on the said date; and

vi. That the Petitioner Companies, shall within thirty days of the date of the receipt of this order cause certified copy of this Order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered, the Transferee Company shall be deemed to be transferred; and

vii. That any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

22. Accordingly, the Scheme stands **sanctioned** and **CP(CAA)/68 (ND)/2022** stands **disposed of** in the above terms.

Let copy of the order be served to the parties.

-SD-
(ATUL CHATURVEDI)
MEMBER (TECHNICAL)

-SD-
(BACHU VENKAT BALARAM DAS)
MEMBER (JUDICIAL)